Project Report

ON

Project on recent corporate governance related cases in various companies

Submitted By

Agam Dayalal Jain

Roll No:- 232208

Seat No.

Submitted to
Savitribai Phule Pune University
Department of Bachelor of Business Administration
Smt. Kashibai Navale college of Commerce
Pune -411004

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SINHGAD TECHNICAL EDUCATION SOCIETY'S
SMT. KASHIBAI NAVALE COLLEGE OFCOMMERCE
(Affiliated to University of Pune and Recognized by Govt. of Maharashtra)19/15
Erandwane Smt. Khilare Marg. Off Karve Road. Pune 411004.

Sinhgad Institutes

CERTIFICATE

This is to certify that Mr. **Agam Dayalal Jain** is a Bonafide student of Smt. Kashibai Navale College of Commerce, Erandwane, Pune has worked on Project titled "**Project on recent corporate governance related cases in various companies"** and has Successfully completed the project work in partial fulfillment of award of degree of Bachelor of Business Administration (BBA).

This report is the record of student's own efforts under our supervision and guidelines.

Prof. Paurnima Sanadi
(Project Guide)

Dr. S. V. Deshpande
(Principal)

Prof. Paurnima Sanadi
(HOD BBA BBA -IB)

External Examiners

Date: 22/11/2023
Place: Pune

Declaration

I hereby declare that project work entitled **"Project on recent corporate governance related cases in various companies"** in particular fulfillment of curriculum of Degree of bachelor of Business Administration from Smt. Kashibai Navale College of Commerce, Pune. The work done by me is my own Piece of work and authentic to best of my knowledge.

Date:

22/11/2023

Place: Pune

Acknowledgment

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Abstract

Corporate governance plays a crucial role in ensuring the transparency, accountability, and ethical conduct of businesses. Recent years have seen a surge in corporate governance-related cases, highlighting the importance of robust governance structures and practices. This project examines several high-profile corporate governance cases, encompassing a range of industries and geographical regions. The cases delve into issues such as accounting irregularities, executive misconduct, shareholder activism, and regulatory non-compliance. By analyzing these cases, the project aims to provide insights into the evolving landscape of corporate governance and the challenges faced by businesses in upholding ethical standards.

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OBJECTIVES OF THE PROJECT

- Identify the root causes of recent corporate governance cases
- Analyse the impact of corporate governance cases on the companies involved
- Learn lessons from corporate governance cases to prevent future scandals
- Develop recommendations for improving corporate governance practices

Companies Act 2013

The Companies Act 2013 (the Act) is the primary legislation that governs companies in India. It was enacted on August 29, 2013, and came into force on April 1, 2014. The Act is a comprehensive piece of legislation that covers all aspects of company law, from the incorporation of companies to their winding up.

The Act has introduced a number of new features, including:

- One-person companies: The Act allows for the incorporation of one-person companies, which can be owned and managed by a single individual.
- Small companies: The Act defines small companies as those with a paid-up capital of not more than ₹50 crore and a turnover of not more than ₹200 crore. Small companies are subject to less stringent compliance requirements than larger companies.
- Dormant companies: The Act allows companies to apply for dormant status if they are not carrying on any business activity. Dormant companies are subject to fewer compliance requirements than active companies.
- Limited liability partnerships (LLPs): The Act introduces LLPs as a new form of business organization. LLPs are similar to companies in terms of their structure and governance, but they offer the flexibility of a partnership.
- Class action suits: The Act allows shareholders to file class action suits against companies for damages caused by corporate misconduct.
- Increased corporate governance requirements: The Act introduces a number of new corporate governance requirements, such as independent directors, audit committees, and risk management committees.

Corporate Governance

Corporate governance is the system of rules, practices, and processes by which a company is directed and controlled. It is concerned with the relationships among the various stakeholders in a company, including shareholders, directors, management, employees, creditors, and the community.

Good corporate governance is important for a number of reasons. It helps to:

- Protect the interests of shareholders and other stakeholders
- Ensure that the company is managed in a transparent and accountable manner
- Reduce the risk of fraud and misconduct
- Attract and retain investors
- Improve the company's reputation

Key provisions of the Companies Act 2013 relating to corporate governance

The Companies Act 2013 contains a number of provisions that are designed to improve corporate governance in India. Some of the key provisions include:

- Independent directors: The Act requires all public companies and certain classes of private companies to have a minimum number of independent directors on their boards. Independent directors are supposed to provide objective and unbiased advice to the board.
- Audit committees: The Act requires all public companies to have an audit committee. The audit committee is responsible for overseeing the company's financial reporting process and internal controls.
- Risk management committees: The Act requires all listed companies to have a risk management committee. The risk management committee is responsible for identifying, assessing, and managing the risks faced by the company.
- Related party transactions: The Act contains detailed provisions governing related party transactions. Related party transactions are transactions between a company and its directors, promoters, and other related parties.
- Corporate social responsibility (CSR): The Act requires all companies with a net profit of ₹5 crore or more to spend 2% of their profits on CSR activities.

Impact of the Companies Act 2013 on corporate governance

The Companies Act 2013 has had a significant impact on corporate governance in India. The Act has introduced a number of new provisions that are designed to improve the transparency, accountability, and fairness of Indian companies.

The Act has also led to a greater awareness of corporate governance issues among Indian businesses. More and more companies are now taking steps to improve their corporate governance practices in order to comply with the law and to attract and retain investors.

INTRODUCTION TO CORPORATE GOVERNANCE

Corporate governance has been widely recognized for the success of corporations in the business environment. This has been in limelight when the number of scandals, such as Enron, Parmalat, WorldCom or Lehman Brothers, came into picture and significant essence has been felt worldwide for effective corporate governance. Corporate governance practices need to be constantly evaluated against the backdrop of an increasingly uncertain and complex business environment. Globally, there has been much debate on what constitutes good governance? Governance norms have primarily focused on the higher responsibilities, tighter regulation for the board of directors and the increase in shareholder activism. There is, however, no standard metrics to determine the success of corporate governance practices. The mandatory checklist approach for corporate governance has severe limitations in terms of its effectiveness. Similarly, relying entirely on an overarching set of principles without any binding rules has also its shortcomings.

Recently, many countries have opted for a middle path approach, where key for success is recognized by way of 'comply-or-explain 'governance code, which is rational too, as it ensures that companies adhere to basic codes and standards. For the long-term interests of the stakeholders, it provides flexibility and accommodates new ideas. This approach encourages companies to be more transparent, as any deviation needs to be publicly explained. Ultimately, long-term sustainability of companies depends on how strong the conviction is to continuously strive in adopting better governance practices. While the business environment may undergo radical change, the underlying principles of transparency, integrity and accountability must remain steadfast. Good Corporate Governance practices are an integral element of business. It is not just a pre-requisite for facing intense competition for sustainable growth in the emerging global market scenario but is an embodiment of the parameters of fairness, accountability, disclosures and transparency to maximize the value for the stakeholders. Corporate Governance is about commitment to values, ethical business conduct, and contribution towards social causes and considering all stakeholders‟ interest in the fair conduct of business.

Effective corporate governance is recognized as an important tool for the risk management and the socioeconomic development, which is possible by ensuring the economic efficiency, growth and stakeholder confidence. This can be well recognized, while analyzing the seeds of modern corporate governance, which were most probably sown by the Watergate scandal in the US, resulting in subsequent investigations, where the US regulatory and legislative bodies able to pinpoint control failures, which had allowed many of the corporations to make illegal political contributions. This led the enactment of the Foreign and Corrupt Practices Act of 1977 in USA that focuses the specific provisions for the establishment, maintenance and review of internal control systems.1979 was recognized year for the Securities and Exchange Commission of US, which made mandatory reporting on internal financial controls. In 1985, following a series of high profile business failures in the USA, the most notable one of which being the Savings and Loan collapse, the Tread way Commission was formed with its primary

role to identify the main causes of misrepresentation in financial reports and to recommend ways of reducing incidence thereof.

The Tread way report published in 1987 highlighting the need for a proper control environment, independent audit committees and an objective Internal Audit function. It called for published reports on the effectiveness of internal control and requested the sponsoring organizations to develop an integrated set of internal control criteria to enable companies to improve their systemic measures. Accordingly Committee of Sponsoring Organizations (COSO) was setup and its report in 1992 specified a control framework, which has been endorsed and refined in the subsequent UK based committees' reports, namely Cadbury, Rutte man, Hampel and Turnbull. When the developments in the United States stimulated debate in the UK, a spate of scandals and collapses in that country in the late 1980s and early 1990's led shareholders and banks to worry about their investments. These also led the UK government to recognize that the existing legislation and regulations were ineffective. Companies including the BCCI, British & Commonwealth, Polly Peck and Robert Maxwell's Mirror Group News International were victimized as the boom-to-bust in decade of the 1980s. Some companies, which saw impressive growth in earnings, were ended the decade in a memorably disastrous manner.

These spectacular corporate failures arose primarily for a nominal reason of poorly managed business practices. It was an attempt to prevent the reoccurrence of such business failures, the Cadbury Committee, was set up by the London Stock Exchange in May 1991, under the chairmanship of Sir Adrian Cadbury. The committee, consisting representation from the top levels of British Empire, was given the task to draft a code of practices to assist corporations in UK by defining and applying effective internal controls to limit their exposure to financial losses.

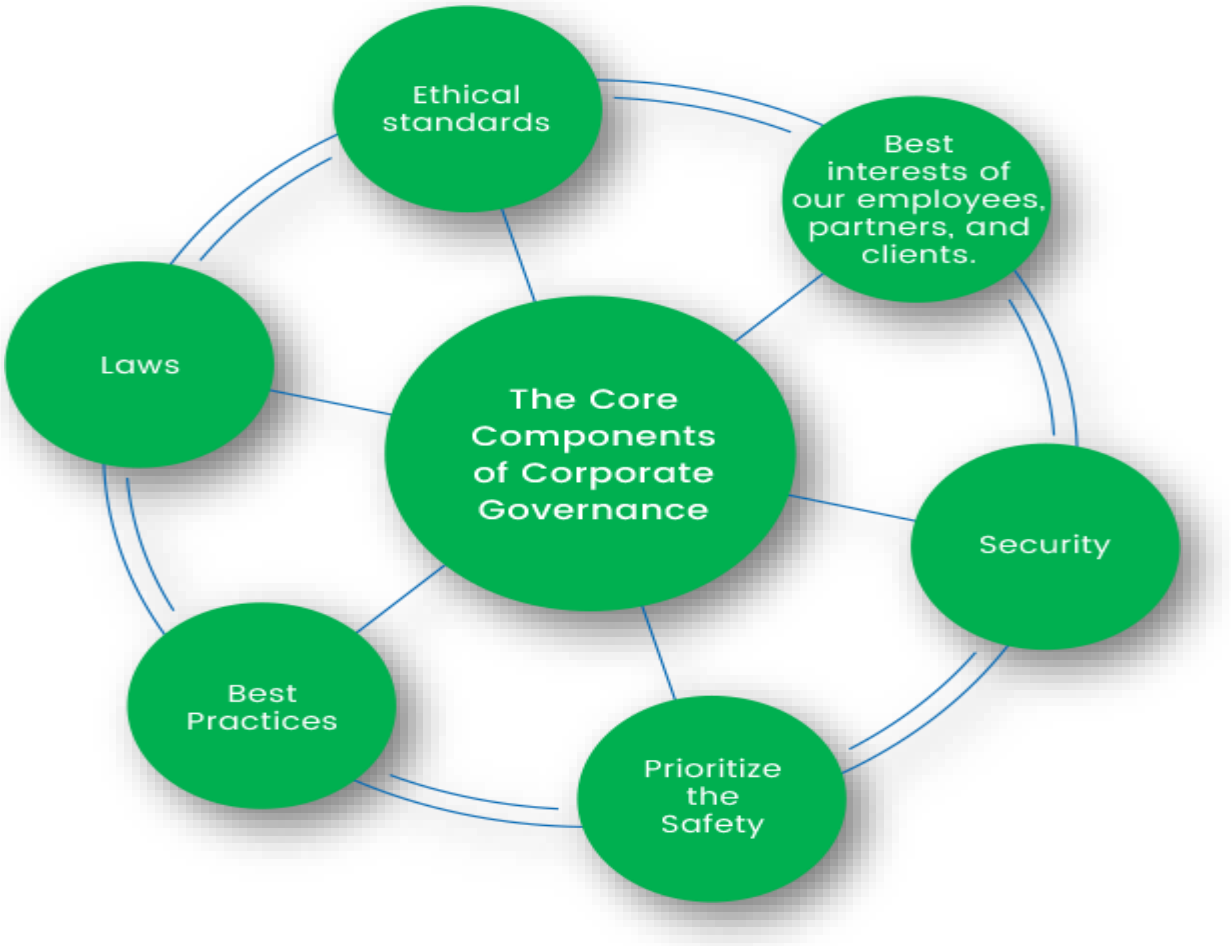
OBJECTIVES OF CORPORATE GOVERNANCE

Good governance is integral to the very existence of a company. As it inspires and strengthens the investor's confidence by ensuring company's commitment to the higher level of growth and profits. It seeks to achieve following objectives:

- A properly structured Board capable of taking independent and objective decisions is in place at the helm of affairs;
- The Board adopts transparent procedures and practices and arrives at decisions on the strength of adequate information;
- The Board effectively and regularly monitors the functioning of the management team;
- The Board has an effective machinery to serve the concerns of stakeholders;
- The Board is balanced as regards the representation of adequate number of non-executive and independent directors who will take care of the interests and well-being of all the stakeholders;
- The Board keeps the shareholders informed of relevant developments impacting the company;
- The Board remains in effective control of the affairs of the company at all times.

KEY COMPONENTS OF GOOD CORPORATE GOVERNANCE

Good governance is conclusively the indicator of personal beliefs and values that configure the organizational beliefs, values and actions of its Board. The Board, which is a main functionary is primary responsible to ensure the value creation for its stakeholders. In the absence of clarity on designated role and powers of the Board, it weakens the accountability mechanism that subsequently, threatens the achievement of organizational goals. Therefore, the key requirement of good governance is the clarity on part of identification of powers, responsibilities, roles and accountability of top position holders, including the Board, the Chairman of the Board and the CEO. In such cases, role of the Board should be clearly documented in a Board Charter, which can be followed throughout. To elaborate the above discussion, following are the essential elements of good corporate governance:



- A well-structured Audit Committee setup is required to work as liaison with the management, internal and statutory auditors. Importance of such is to review the adequacy of internal control and compliance with significant policies and procedures, reporting to the Board on the key issues.

- Accountability towards the stakeholders with an objective to serve the stakeholders

through strong and sustained communication processes at a regular interval.

- Clear documentation of company's objectives as a part of long-term corporate strategy including an annual business plan together with achievable and measurable performance targets.
- Effective whistle blower policy is another element, whereby the employees may report to the top management about any suspected frauds, unethical behavior or violation of company's code of conduct. Appropriate mechanism should be in place for adequate safeguard to such employees.

- Emphasis on healthy management environment, which includes appropriate ethical framework, clear objectives, establishing due processes, clear enunciation of responsibility and accountability, sound business planning, establishing performance evaluation measures.

- Fair and unambiguous legislation and regulations.

- Fairness to all stakeholders.

- Focus on social, regulatory and environmental concerns

- Identification and analyzing risk are an important element of corporate functioning and governance, which should be appropriately taken into consideration as remedial measures. This can be well settled by formulating a mechanism of periodic reviews of internal and external risks.

- To be specific on norms of ethical practices and code of conduct that is required to be communicated to all the stakeholders.

- Transparency and independence in the functioning of the Board, where Board should provide effective leadership for achieving sustained prosperity for all stakeholders, which can be possible by providing independent judgment in achieving the company's objectives.

WHY IS CORPORATE GOVERNANCE IMPORTANT?

- It enhances higher possibilities in delivering sustainable good business performance.
- It ensures that a well governed company is accountable and transparent towards its shareholders and other stakeholders.
- It ensures that the business environment is fair and transparent enough for companies that one may be held accountable for their actions.
- It has emerged as new way to manage modern joint stock corporations, which are equally significant in cooperatives, state-owned enterprises and family businesses.



BENEFITS OF CORPORATE GOVERNANCE

Corporate governance has a unique and important place for the companies and different stakeholders. Following corporate governance codes benefits the owners and managers of companies and increase transparency and disclosure by enhancing access to capital and financial markets. It emphasizes to survive at a crucial period in an increasingly competitive environment through mergers, acquisitions, risk reduction and partnerships through asset diversification. Corporate governance ensures to provide an exit policy with a smooth inter-generational transfer of wealth and divestment of family assets that can reduce the chance for conflicts of interest. It leads to a greater accountability, better system of internal control and better profit margins for the company. It also provides higher potential for future diversification, excessive growth, attracting equity investors (nationally and abroad), and reduction in the cost of credit for corporations.

Corporate governance can provide proper incentives for the board and management that match the objectives, which are in the interest of the company and the shareholders. It ensures greater security to the investment of the shareholders. It creates an environment, where shareholders are sufficiently informed on decisions concerning fundamental. From various empirical researches, it has been found that majority of global institutional investors are willing to pay a premium for the shares of a well-governed company over the other poorly governed companies, which have an impressive and comparable financial record.

Other Benefits:-

1. Mitigates Risks
2. Improves Capital Flows
3. Encourages Positive Behavior
4. Boosts Corporate Reputation
5. Improves decision making
6. Attracts Talented Director
7. Improves Reporting
8. Assures Internal Controls
9. Enables Better Strategic Planning
10. Boosts compliance
11. Limits Conflict of Interest
12. Improves Staff Retention

THEORIES OF
CORPORATE GOVERNANCE

1. *Agency theory:*

Defines the relationship between the principle and the agents. According to this theory the principals of the company hire the agents to perform their work. The principals delegate the work of running the business to the directors or managers , who are the agents of shareholder. The shareholders expect to act and make decision in the best interest of the principal. The key feature of agency theory is separation of ownership and control.

2. *Shareholder theory:*

It is the corporation which is considered as the property of the shareholder, they can dispose of their property as they like .The owner seeks return on their investment and that is why they invest in corporation .But this narrow role has expanded in overseeing the operations of the corporation and it manages to ensure that corporations is in compliance with ethical and legal standards set by the government. The directors are responsible for any damage or harm done to their corporation i.e., corporation.

3. *Stewardship theory:*

It states that a steward protects and maximizes shareholders wealth through firm performance. Here 'stewards' are company executives and managers working for the shareholders , protects and make profits for the shareholders. It stresses on the position of employees or executive to act more autonomously so that shareholder's returns are maximized.

4. *Stakeholder theory:*

This theory incorporated the accountability of management to a broad range of stakeholders. It states that managers in organization have a network of relationship to serve this includes the suppliers, employees and business partners. This theory focuses on managerial decision making and interest of all stakeholders have intrinsic value , and no sets of interest is assumed is assumed to dominate the others .According to this theory the company is seen as an input output model and all they interest which includes creditors , customers, employees and the government.

5. *Resource dependency theory:*

The resource dependency theory focuses on the role of board of directors in providing access to resource needed by the firm. It states that directors bring resources such as information ,skills access to key constituents such as suppliers, buyers, public policy makers.

6. *Political theory:*

Best approach of developing voting support from shareholders rather by purchasing voting power. It highlights the allocation of corporate power, profits and privileges are determined via the government's favor.

7. *Transaction cost theory:*

A company has a number of contracts within the company itself or with markets through which market which it creates value for the company. There is cost associated with each contract with the external party such cost is called transaction cost. If the transaction cost of using market is higher , the company would undertake that transaction itself.

NEED FOR CORPORATE GOVERNANCE

The need for corporate governance is highlighted by the following factors:

(i) Wide Spread of Shareholders

Today a company has a very large number of shareholders spread all over the nation and even the world; and a majority of shareholders being unorganized and having an indifferent attitude towards corporate affairs. The idea of shareholders' democracy remains confined only to the law and the Articles of Association; which requires a practical implementation through a code of conduct of corporate governance.

(ii) Changing Ownership Structure

The pattern of corporate ownership has changed considerably, in the present-day-times; with institutional investors (foreign as well Indian) and mutual funds becoming largest shareholders in large corporate private sector. These investors have become the greatest challenge to corporate managements, forcing the latter to abide by some established code of corporate governance to build up its image in society.

(iii) Corporate Scams or Scandals

Public confidence in corporate management. The event of Harshad Mehta scandal, which is perhaps, one biggest scandal, is in the heart and mind of all, connected with corporate shareholding or otherwise being educated and socially conscious. The need for corporate governance is, then, imperative for reviving investors' confidence in the corporate sector towards the economic development of society.

CORPORATE GOVERNANCE

– ***HISTORY IN INDIA***

Corporate governance is concerned with set of principles, ethics, values, morals, rules regulations, & procedures etc. Corporate governance establishes a system whereby directors are entrusted with duties and responsibilities in relation to the direction of the company's affairs.

The term "governance" means control i.e. controlling a company, an organization etc. or a company & corporate governance is governing or controlling the corporate bodies i.e. ethics, values, principles, morals. For corporate governance to be good the manager needs to meet its responsibilities towards its owners (shareholders), creditors, employees, customers, government and the society at large. Corporate governance helps in establishing a system where a director is showered with duties and responsibilities of the affairs of the company.

Corporate governance concept emerged in India after the second half of 1996 due to economic liberalization and deregulation of industry and business. With the changing times, there was also need for greater accountability of companies to their shareholders and customers. The report of Cadbury Committee on the financial aspects of corporate Governance in the U.K. has given rise to the debate of Corporate Governance in India.

Need for corporate governance arises due to separation of management from the ownership. For a firm success, it needs to concentrate on both economic and social aspect. It needs to be fair with producers, shareholders, customers etc. It has various responsibilities towards employees, customers, communities and at last towards governance and it needs to serve its responsibilities at the best at all aspects.

The "corporate governance concept" dwells in India from the Art shastra time instead of CEO at that time there were kings and subjects. Today, corporate and shareholders replace them but the principles still remain same, unchanged i.e. good governance.

20th century witnessed the glossy of Indian Economy due to liberalization, globalization, and privatization. Indian economy for the 1st time here was together with world economy for product, capital and lab our market and which resulted into world of capitalization, corporate culture, business ethics which was found important for the existence of corporation in the world market place.

For effective corporate governance, its policies need to be such that the directors of the company should not abuse their power and instead should understand their duties and responsibilities towards the company and should act in the best interests of the company in the broadest sense.

The concept of 'corporate governance' is not an end; it's just a beginning towards growth of

company for long term prosperity.
Corporate governance was first introduced in India in the early 1990s. The Confederation of Indian Industry (CII) played a key role in promoting corporate governance in India. In 1998, the CII published the first code of corporate governance in India.

The Securities and Exchange Board of India (SEBI) also played a key role in promoting corporate governance in India. In 1999, SEBI set up the Kumar Mangalam Birla Committee to recommend measures to improve corporate governance in India. The Birla Committee Report, which was published in 2000, made a number of important recommendations, including the following:

- Establishment of a board of directors with a majority of independent directors
- Creation of audit committees and remuneration committees
- Disclosure of financial information and related party transactions
- Adoption of a code of conduct for directors and senior management

SEBI implemented many of the recommendations of the Birla Committee Report through a series of amendments to the Listing Agreement. The Listing Agreement is a binding contract between SEBI and listed companies. It sets out the various requirements that listed companies must comply with.

The Companies Act, 2013 was a major milestone in the development of corporate governance in India. The Act introduced a number of new provisions to improve corporate governance in India, including the following:

- Increased number of independent directors on the boards of public companies
- Establishment of mandatory audit committees and risk management committees
- Enhanced disclosure requirements
- Stricter rules on related party transactions
- Introduction of a code of corporate governance for all companies

The Companies Act, 2013 has made corporate governance a top priority for Indian companies. Indian companies are now more transparent, accountable, and responsible than ever before.

Factors that contributed to the introduction of corporate governance in India:

- Globalization: The globalization of the Indian economy has led to increased exposure to international best practices in corporate governance.
- Rise of institutional investors: The rise of institutional investors in India has put pressure on companies to improve their corporate governance practices.
- Activism from shareholders and civil society organizations: Shareholders and civil society organizations have played an important role in raising awareness of corporate governance issues and in demanding reforms.

- **THE COMPANIES ACT, 2013**

The Companies Act, 1956 was active for about fifty-five years and has been amended several times. As a replacement to existing Company Act, 1956, New Companies Act, 2013was passed by the Parliament and came into force on August 29, 2013.

Effective code of corporate governance is referred below:

1. Enabling Transparency (Sec. 120)
2. Corporate Social Responsibility (Sec. 135)
3. Appointment of Auditors, Sec. 139 and Not to Render Certain Services (Sec. 144)
4. Structure of Board of Directors (Sec. 149)
5. Duties of Director (Sec. 166)
6. Code for Independent Directors (Schedule IV)
7. Structure of Audit Committee and Its Function (Sec. 177)
8. Prohibition on Insider Trading of Securities (Sec. 195)
9. Appointment of Key Managerial Personnel (KMP) (Sec. 203)
10. Secretarial Audit for Bigger Companies (Sec. 204)
11. Defined Functions of Company Secretary (Sec. 205)
12. Establishment of Serious Fraud Investigation Office (Sec. 211 and 212)

- **SEBI GUIDELINES, 2014**

After the enactment of the Companies Act, 2013, the rules pertaining to Corporate Governance were notified on March 27, 2014. The requirements under the Companies Act, 2013 and the rules notified there under would be applicable for every company or a class of companies (both listed and unlisted) as may be provided therein. Accordingly SEBI issued a revised circular on April, 17 2014 with the provisions of the Listing Agreement with an objective to align with the provisions of the Companies Act, 2013, adopt best practices on corporate governance and to make the corporate governance framework more effective.

- **SECURITIES AND EXCHANGE BOARD OF INDIA (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015**

SEBI (LODR), 2015 regulation was notified on September 02, 2015 and has been amended 5 times applied special provision for the listed entities that are listed on any of the designated securities on recognized stock exchanges. The regulation has set of principles which govern the disclosures and obligations for the listed entities. LODR has a close reference to comply with the corporate governance provisions including rights of shareholders, timely information to shareholders, equitable treatment of all shareholders, recognizing the rights of stakeholders and encourage cooperation between listed entity and the stakeholders. It also focuses on ensuring timely and accurate disclosure of material facts such as financial position, ownership, performance and governance.

Some of the Key highlights of LODR with special focus on corporate governance aspects are discussed below:

1. Board Composition
2. Audit Committee
3. Nomination and Remuneration Committee

Good Corporate Governance:
Meaning and Concept

Defining Good Governance

Good is a term used with great flexibility; Depending on the context, good governance has been said at various times to encompass: full respect of effective participation, human rights, the rule of law, multifactor partnerships, and accountable processes, political pluralism, transparent and institutions, an efficient and effective public sector, legitimacy, access to knowledge, information and education, political empowerment of people, equity, sustainability, and attitudes and values that foster responsibility, solidarity and tolerance

Origin and Emergence of the Concept of Good Governance

- "Good governance" was initially expressed in a 1989 World Bank publication.

- In 1992, the Bank published a report entitled, Governance and Development, which explored the concept further and its application.

- In 1997, the Bank redefined the concept "good governance" as a necessary precondition for development.

Good governance is to promote and sustain holistic and integrated human development. The central focus is to see how the government enables, simplifies and authorizes its people, regardless of differences of caste, creed, class, and political ideology and social origin to think, and take certain decisions which will be in their best interest, and which will enable them to lead a clean, decent, happy, and autonomous existence.

"Good" about governance

Good Governance manages and allocates resources to respond to combined problems of its citizens. Hence states should be assessed on both the quality and the quantity of public goods provided to citizens. The policies that supply public goods are guided by principles such as human rights, democratization and democracy, transparency, participation and decentralized power sharing, sound public administration, accountability, rule of law, effectiveness, equity, and strategic vision.

Basic Features or Elements of Good Governance

Good governance has 8 major characteristics. It is participatory, consensus oriented, accountable, transparent, responsive, effective and efficient, equitable and inclusive and follows the rule of law. It assures that corruption is minimized, the views of minorities are taken into account and that the voices of the most vulnerable in society are heard in decision-making. It is also responsive to the present and fixture needs of society.

- **Participation:-**

Good governance requires that civil society has the opportunity to participate by both men and women during the formulation of development strategies. This aspect of governance is an essential element in securing commitment and support for projects and enhancing the quality of their implementation. Participation needs to be informed and organized. This means freedom of association and expression and an organized civil society should go hand in hand.

- **Rule of law:-**

Good governance requires a fair, predictable and stable legal framework enforced impartially. Full protection of human rights, especially minorities should be covered. Impartial law enforcement requires a judiciary to be independent and police force should be impartial and incorruptible.

- **Transparency:-**

Transparency in government is an important precondition for good governance, and those decisions taken and their enforcement are done in a manner that follows rules and regulations. Transparency ensures that enough information is provided and that it is provided in easily understandable forms and media.

- **Responsiveness:-**

Good governance requires the institutions to serve all stakeholders in a given time-frame. There are several actors and viewpoints and the different interests in society needs mediation. The best interest of the community should be analyzed and achieved which requires a broad and long-term perspective on what is needed and how to achieve the goals of sustainable development.

- **Equity and inclusiveness:-**

A society's wellbeing depends on ensuring that all men and women have opportunities to improve or maintain their well-being. This requires all groups, especially the most vulnerable, should have opportunities to improve or maintain their standards of life.

- **Effectiveness and efficiency:-**

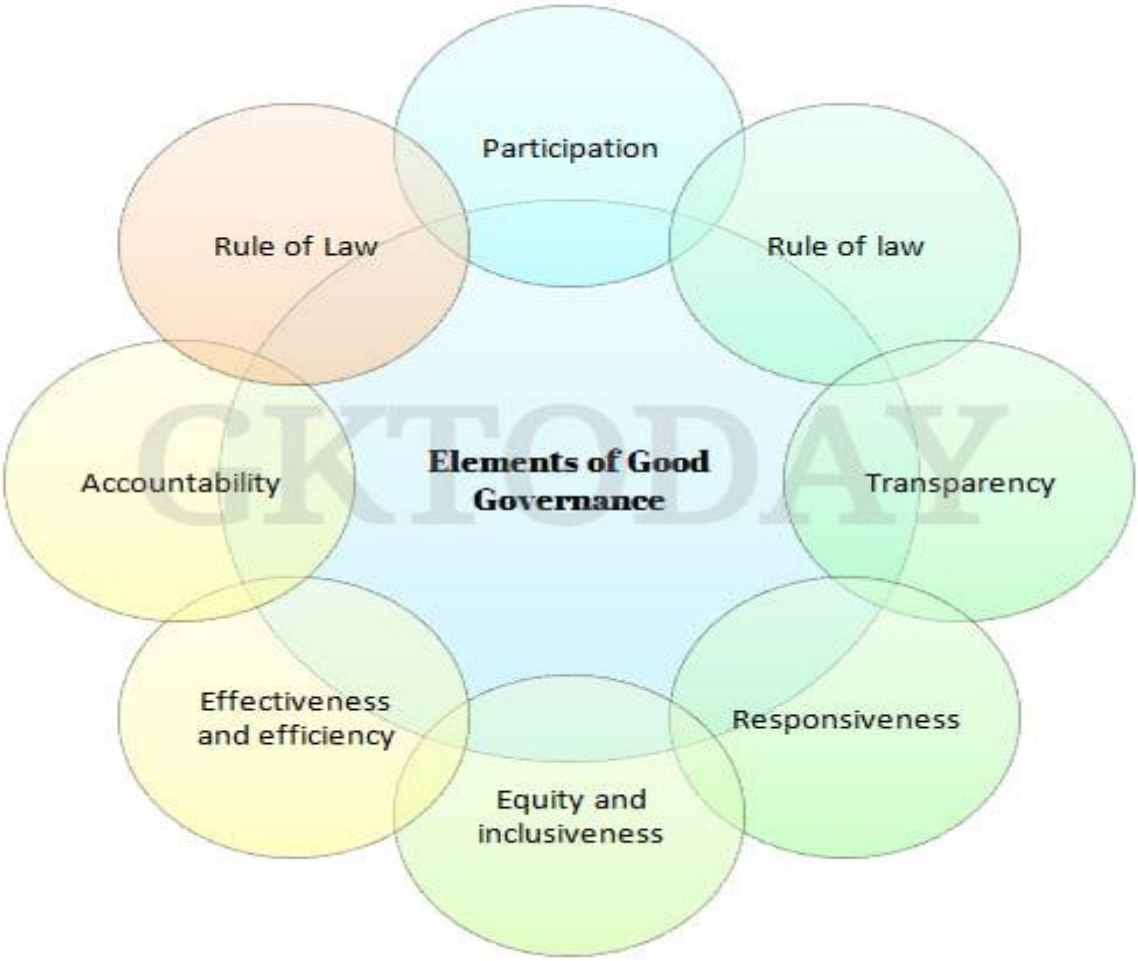
Good governance means Processes and institutions produce results that meet needs while making the best use of resources. The concept of efficiency covers the sustainable use of natural resources and the protection of the environment.

- **Accountability:-**

It is a key requirement of good governance. Both Public and private sector and civil society organizations must be accountable to the public and to their institutional stakeholders. An organization or an institution is accountable to those who will be affected by its decisions or actions. Accountability can be enforced only with transparency and the rule of law.

- **Rule of Law:-**

Rule of law supports the demand for equity and fairness and means to be impartial, not corrupt and to protect the human rights of all. These are the leading criteria becoming benchmarks one has to keep in mind when striving for good Governance in the decision-making processes.



CORPORATE GOVERNANCE IN BANKS

CORPORATE GOVERNANCE IN BANKING SECTOR

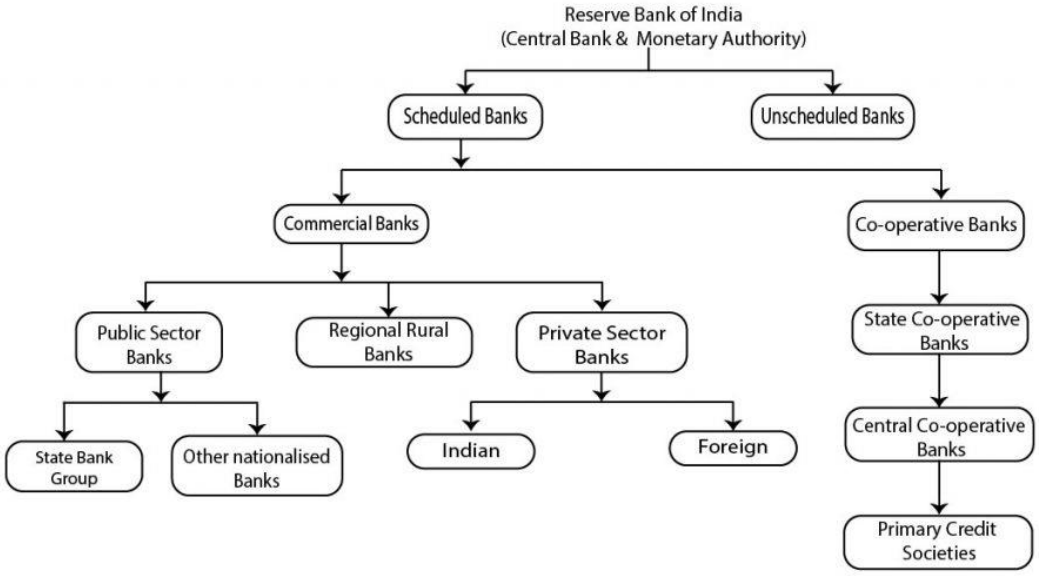
It is evident that banking and financial institutions are the strong backbone of any economy. This results in healthy economic condition of a country, which positively correlates with sound functioning of its banking sector. Functioning of banking and financial institutions differs with other corporate entities in many ways that makes corporate governance of banks very different and critical too. So, if a corporate fails on corporate governance front, the fall outs can be restricted to the stakeholders, but on the other hand, if a banking or financial institution fails, the impact can spread rapidly through other banks and financial institutions, which ultimately have serious implication on financial system at large. Thus, corporate governance has equal importance in case of banks and financial institutions as well. In Indian market, the concept of corporate governance is emphasized considering the liberalization, privatization and globalization phase, whereby institutionalization of financial markets, foreign institutional investors (FIIs) became dominant players in the stock markets. This phase also left private sector companies with a realization that 'investors keep invested in those corporate, which create values for their investors'. Thus, in this way, corporate essentially requires to adhere with the honest, fair and transparent corporate procedures and practices.

EVOLUTION OF CORPORATE GOVERNANCE IN INDIAN BANKING SYSTEM

Considering the changing role of corporate governance, various advisory groups and consultative groups were formed to deeply study baking sector in the light of effective corporate governance. To name a few, an advisory group on corporate governance was formed under the chairmanship of Dr. R. H. Patil, in March 2001.Subsequently, another consultative group was formed in November 2001 under the Chairmanship of Dr. A.S. Ganguly, with an objective to strengthen the internal supervisory role of the Boards in banks. In continuation, an advisory group on banking supervision was initiated under the Chairmanship of Shri M.S.Verma. Despite recommendations of these advisory groups and considering the global corporate governance experience, RBI had undertaken several measures to strengthen the corporate governance in the Indian banking sector. Various areas, which were potentially important and needed attention, were emphasized. It included defined role of supervisors, ensuring an environment supportive to the sound corporate governance, effective organizational structure to have responsible board of directors, etc. Considering the fact that Indian banking sector is dominated by the government-managed banks (including public sector banks, nationalized banks and rural banks, etc.), these issues were further examined. In this phenomenon, corporate governance issue was important for public sector banks, especially because they constitute major share of business in the banking sector.

The Reserve Bank of India (RBI) enacted in 1934 and the Securities and Exchange Board of

India (SEBI) established in 1992 are two important statutory bodies empowered to regulate and maintain the standard required for the effective corporate governance. Another global initiative in 1999 of the Basel Committee also brought important principles on corporate governance for banks. Additionally, Banking Regulation Act, 1949, Foreign Exchange Management Act (FEMA), 1999, Payment and Settlement Systems Act, 2007, New Companies Act, 2013 and other directives/ regulations/ guidelines/ instructions issued by RBI and SEBI from time to time have created a positive environment and future scope for enhancing corporate governance. This evolution phase of corporate governance and banking industry experiences created long way of development and setting global standards for corporate governance, which make it more robust and sophisticated in today's time frame.



NEED OF EFFECTIVE GOVERNANCE IN BANKS

There are various parameters, which refer the crucial need of corporate governance in banking sector. It cannot be denied that banking sector plays important role of managing funds and its circulation. They have access to capital market as well to maintain the statutory requirement of having sound capital adequacy ratio (CAR). This way they also have open-ended investors from the capital market as well as major shareholders. Investors believe that a bank with good governance will provide them a safe place for investment and also give better returns. Therefore, good corporate governance is important factor in retaining existing investors and attracting new investors. Another aspect of greater transparency and fairness motivate its investors, customers, employees and vendors to maintaining long-term relationship with the bank. Important practices in good corporate governance such as assessment of credit risks pertaining to lending process has an encouragement for the corporate sector, as in turn it will improve their internal corporate governance practices and standards, which is conditioned by the global tendency to consolidation in the banking sector. Another aspect of corporate governance need in the banking is influenced by the fact that boards of directors and senior

management govern the business and affairs of individual banks, and at any point of time, any imbalance within the effective corporate governance framework will be led to corporate failure. In the light of above, the need of corporate governance in banking sector is essentially required in order:

- to establish a capable, effective and reliable board of directors and their composition
- to have an effective and operating audit committee, compensation committee and nominating/ corporate governance committee
- to establish corporate governance procedures in order to enhance shareholder's value
- to establish a corporate code of ethics
- to disclose the information in a transparent manner

RBI'S ROLE IN ENSURING CORPORATE GOVERNANCE IN BANKS

RBI, being the central bank and banking sector regulator in India has major role in formulating, implementing and promoting the standards of corporate governance for India's banking sector. Originally, RBI had task to regulate issue of currency, maintaining forex reserve, financing five year plan, establishing specialized institutions to promote saving and to fulfill needs of priority sector. Afterwards post librelisation phase, it also started focusing on facilitation of efficient functioning of capital and money market, fixing interest rates, providing necessary operational framework to banks for setting various transparency and disclosures norms. It also focuses on safeguarding and maximizing the shareholder's value and stabilizing the financial system. Apart from main functions of RBI, it also has supervisory and regulatory powers for public sector banks, private sector banks, regional rural banks, foreign banks, non-banking financing companies (NBFC), Small Industries Development Bank of India (SIDBI), cooperative banks and various institutions formed under special acts (including SBI Act, IDBI Act, Industrial Finance Corporation, NABARD Act, Deposit Insurance and Credit Guarantee Corporation Act and National Housing Bank Act).

RBI also follows the important functions guided by the Board of Financial Supervision (BFS), which inspects and monitor the banks through its CAMELS approach (capital adequacy, asset quality, management, earnings, liquidity, and systems & control). Here primary objective of BFS is to undertake consolidated supervision of the financial sector. It also look after the Department of banking Supervision, Department of Non Banking Supervision and the Financial Institution Division, in terms of issuing necessary directions for important regulatory matters. Within the supervision and regulatory powers, RBI has description over bank licensing, asset liquidity, branch expansion and methods of amalgamation and liquidation, etc., which further empower RBI to play leading role of formulating and implementation of effective corporate governance mechanism for the institutions within banking sector.

RBI follows three important parameters in maintaining and managing effective corporate governance, namely, prompt disclosure and transparency norms, off-site surveillance and timely appropriate corrective action.

IMPORTANT COMMITTEES OF BOARD

Most of the guidelines are based on SEBI guidelines, New Companies Act 2013, Norms set by the RBI or by the Ministry of Corporate Affair. Some of the important guidelines are referred below:

1. Board Composition
2. An Audit Committee
3. The Remuneration and Nomination Committee
4. Risk Management Committee
5. Stakeholders Relationship Committee
6. Corporate Social Responsibility Committee

IMPORTANT GUIDELINES OF RBI ON CORPORATE GOVERNANCE

RBI issues important guidelines from time to time to the banks, NBFC and other financial institutions, which comes under its supervisory control. Some of the key guidelines are discussed below:

1. Guidelines for Licensing of 'Payments Banks'
2. Corporate Governance Directions for Non-Banking Financial Companies (NBFC's)
3. Fit & Proper Criteria for Directors.

Challenges Of Corporate Governance While Implementation In INDIA

The implementation of corporate governance in India has been a gradual process, and there are still a number of challenges that need to be addressed. Some of the key challenges include:

1. *Lack of awareness and understanding:* Many Indian businesses are still not fully aware of the importance of corporate governance or how to implement it effectively. This is due to a number of factors, including the lack of education and training on corporate governance, the complexity of the Companies Act, 2013, and the cultural resistance to change.

2. *Low levels of compliance:* Even among businesses that are aware of corporate governance requirements, many do not comply with them fully. This is often due to the high costs and complexities of compliance, the lack of enforcement by the regulators, and the fear of reprisals from promoters and controlling shareholders.

3. *Weak enforcement:* The regulators responsible for enforcing corporate governance requirements in India, such as the Securities and Exchange Board of India (SEBI) and the Ministry of Corporate Affairs (MCA), have been criticized for being weak and ineffective. This has led to a culture of impunity among some businesses, who believe that they can get away with violating corporate governance requirements without any consequences.

4. *Complex regulatory environment:* The regulatory environment for corporate governance in India is complex and fragmented. There are a number of different laws and regulations that apply to corporate governance, and these are not always well-aligned. This can make it difficult for businesses to comply with all of the requirements.

5. *Cultural factors:* The Indian corporate culture is often characterized by a strong emphasis on family ownership and control. This can make it difficult to implement corporate governance reforms, as promoters and controlling shareholders may be reluctant to relinquish power or to give more say to independent directors and other stakeholders.

Despite these challenges, there has been significant progress in the implementation of corporate governance in India in recent years. The Companies Act, 2013 has introduced a number of new and important provisions that have helped to improve the corporate governance landscape. Additionally, there has been a growing awareness of the importance of corporate governance among Indian businesses and investors.

The following are some steps that can be taken to address the challenges of corporate governance implementation in India:

1. *Increase awareness and understanding:* The government, regulators, and business associations can play a role in increasing awareness and understanding of corporate governance among Indian businesses. This can be done through education and training programs, seminars, and workshops.

2. *Strengthen enforcement:* The regulators need to strengthen enforcement of corporate governance requirements. This can be done by increasing the number of inspections and audits, imposing stricter penalties for violations, and providing greater protection to whistleblowers.

3. *Simplify the regulatory environment:* The government can simplify the regulatory environment for corporate governance by consolidating and rationalizing the various laws and regulations that apply. This will make it easier for businesses to comply with all of the requirements.

4. *Promote cultural change:* The government and business associations can work together to promote cultural change within the Indian corporate sector. This includes encouraging businesses to adopt a more transparent and accountable approach to governance, and to give more say to independent directors and other stakeholders.

The implementation of corporate governance is a complex and challenging process, but it is essential for the long-term health and prosperity of the Indian corporate sector. By addressing the challenges that have been identified, India can create a more corporate governance-friendly environment that will attract and retain investment, boost economic growth, and protect the interests of all stakeholders.

Case study

1. 2003 Telgi Scam Corporate Governance Scandal Case Study: -

- **Introduction**

The 2003 Telgi scam was a major corporate governance scandal in India. The scam was perpetrated by Abdul Karim Telgi, who counterfeited stamp papers and sold them through a network of agents. The scam caused an estimated loss of over ₹200 billion (US$2.5 billion) to the Indian government.

The Telgi scam also highlighted a number of corporate governance failures in Indian companies. The companies that were involved in the scam failed to have adequate risk management systems in place and failed to conduct proper due diligence on their customers.

- **Background**

Abdul Karim Telgi was born in Khanapur, Karnataka, India in 1963. He came from a poor family and did not have a formal education. Telgi began his criminal career by forging documents and selling them to people who needed them to obtain loans or other benefits.

In the late 1990s, Telgi began to counterfeit stamp papers. Stamp papers are government-issued documents that are required for certain legal transactions, such as the sale of property or the transfer of shares. Telgi was able to counterfeit stamp papers of high quality, and he sold them through a network of agents.

Telgi's scam was successful because he was able to exploit a number of weaknesses in the Indian system. First, the Indian government did not have a central database of stamp papers, which made it difficult to detect counterfeits. Second, many companies did not have adequate risk management systems in place, and they failed to conduct proper due diligence on their customers.

- **Corporate Governance Failures**

The Telgi scam highlighted a number of corporate governance failures in Indian companies. The companies that were involved in the scam failed to have adequate risk management systems in place and failed to conduct proper due diligence on their customers.

For example, some companies failed to verify the authenticity of stamp papers before accepting them as payment. Other companies failed to keep proper records of their transactions, which made it difficult to track down the counterfeit stamp papers.

- **Impact of the Scam**

The Telgi scam had a significant impact on the Indian economy. The scam caused an estimated loss of over ₹200 billion (US$2.5 billion) to the Indian government. The scam also damaged the reputation of Indian companies and eroded public confidence in the corporate sector.

- **Lessons Learned**

The Telgi scam offers a number of important lessons for corporate governance. First, it is important for companies to have strong risk management systems in place. These systems should be designed to identify, assess, and mitigate the risks associated with the company's business.

Second, companies need to conduct proper due diligence on their customers. This includes verifying the identity of customers and the authenticity of any documents they provide.

Third, companies need to keep proper records of their transactions. This will help companies to track down counterfeit stamp papers and other fraudulent activities.

- **Recommendations**

  - In addition to the lessons learned above, the following recommendations can be made to prevent similar scams from happening in the future:
  - The Indian government should establish a central database of stamp papers. This would make it easier to detect counterfeit stamp papers.
  - Regulatory bodies should strengthen their oversight of corporate governance practices in Indian companies.
  - Companies should invest in training their employees on corporate governance and fraud detection.

By taking these steps, we can help to ensure that corporate governance failures like the Telgi scam do not happen again.

2. KINGFISHER AIRLINES CASE: -

- **Introduction: -**

Vijay Mallya is an Indian businessman who was once known as the "King of Good Times." He was the chairman of the UB Group, a conglomerate with interests in alcoholic beverages, aviation, and other industries. However, Mallya is now best known for his involvement in a massive fraud case.

In 2012, Mallya's airline, Kingfisher Airlines, collapsed under a mountain of debt. Mallya was accused of defrauding banks out of billions of dollars to keep his airline afloat. He fled India in 2016 and has been living in the United Kingdom ever since.

The Vijay Mallya case is one of the largest and most high-profile corporate fraud cases in Indian history. It has also had a significant impact on the Indian banking sector.

- **Background: -**

Vijay Mallya was born in Bangalore, India in 1955. He came from a wealthy family and his father was a successful businessman. Mallya studied accounting and law in the United Kingdom before returning to India to join his father's business.

In the 1980s, Mallya took over control of the UB Group and began to expand its business interests. He acquired several beer and whisky companies, and he also launched Kingfisher Airlines in 2005.

Kingfisher Airlines quickly became one of the most popular airlines in India. However, the airline was also very expensive to operate. Mallya began to borrow heavily from banks to keep the airline afloat.

- **The Fraud: -**

In 2012, Kingfisher Airlines was unable to repay its debts. The airline collapsed and Mallya was accused of defrauding banks out of billions of dollars.

Mallya is alleged to have used forged documents and other fraudulent means to obtain loans from banks. He is also accused of diverting the loan money to other businesses and personal expenses.

- **The Investigation: -**

The Indian government launched an investigation into the Vijay Mallya case in 2013. The investigation is still ongoing, but Mallya has been charged with several crimes, including fraud and money laundering.

In 2017, the Indian government revoked Mallya's passport. The government has also sought to extradite Mallya from the United Kingdom. However, the extradition process has been delayed by legal challenges.

- **Impact on the Indian Banking Sector: -**

The Vijay Mallya case has had a significant impact on the Indian banking sector. Several banks have suffered large losses due to Mallya's alleged fraud.

The case has also led to increased scrutiny of corporate loans by banks. Banks are now more cautious about lending to companies, and they are demanding more collateral from borrowers.

- **Additional Details: -**

In addition to the information above, here are some additional details about the Vijay Mallya case:

• Mallya is accused of defrauding 17 banks out of over 9,000 crores (approximately US$1.3 billion).

• Mallya is also accused of diverting the loan money to other businesses and personal expenses, such as buying luxury homes and yachts.

• Mallya fled India in 2016 and has been living in the United Kingdom ever since.

• The Indian government has sought to extradite Mallya from the United Kingdom, but the extradition process has been delayed by legal challenges.

• The Vijay Mallya case has had a significant impact on the Indian banking sector. Several banks have suffered large losses due to Mallya's alleged fraud.

- **Case Study Analysis: -**

The Vijay Mallya case is a classic example of corporate fraud. Mallya allegedly used a variety of fraudulent means to obtain loans from banks, and he then diverted the loan money to other businesses and personal expenses.

The case also highlights the risks associated with corporate lending. Banks need to be careful about who they lend to and they need to have robust risk management systems in place.

The Vijay Mallya case is also a reminder of the importance of corporate governance. Companies need to have strong governance structures in place to prevent fraud and other abuses.

- **Recommendations: -**

In light of the Vijay Mallya case, the following recommendations can be made:

• Banks should be more cautious about lending to companies, and they should demand more collateral from borrowers.

• Companies should have strong governance structures in place to prevent fraud and other abuses.

• The Indian government should expedite the extradition process for Vijay Mallya.

3. Satyam Computer Services Scandal (2009) in Corporate Governance Case Study: -

- **Introduction**

The Satyam Computer Services scandal was a major corporate governance scandal that occurred in India in 2009. Ramalinga Raju, the founder and chairman of Satyam Computer Services, admitted to falsifying the company's accounting records for several years. This led to the company's collapse and a major loss of investor confidence in Indian companies.

The Satyam scandal highlighted a number of corporate governance failures. The company's board of directors was dominated by Raju and his allies. This allowed Raju to have excessive control over the company's affairs and to make questionable decisions without adequate oversight from the board.

In addition, Satyam's auditors failed to detect the fraud. The auditors were PricewaterhouseCoopers (PwC), one of the world's largest accounting firms. PwC has been heavily criticized for its failure to detect the fraud.

- **Corporate Governance Failures**

The Satyam scandal highlighted a number of corporate governance failures. These failures include:

- Dominant Board: The board of directors of Satyam was dominated by Raju and his allies. This allowed Raju to have excessive control over the company's affairs and to make questionable decisions without adequate oversight from the board.
- Weak Audit Oversight: Satyam's auditors, PwC, failed to detect the fraud. This is a major failure of audit oversight.
- Lack of Transparency: Satyam failed to disclose important information to its shareholders and creditors. This lack of transparency made it difficult for investors and creditors to assess the company's true financial condition.

- **Impact of the Scandal**

The Satyam scandal had a significant impact on the Indian economy and on the global reputation of Indian companies. The scandal led to a loss of investor confidence in Indian companies and made it more difficult for Indian companies to raise capital.

The scandal also damaged the reputation of the Indian accounting profession. PwC, Satyam's auditor, was heavily criticized for its failure to detect the fraud.

- **Lessons Learned**

The Satyam scandal offers a number of important lessons for corporate governance. These lessons include:

- Board Composition: It is important for boards of directors to be independent and to have a diverse range of skills and experience. This helps to ensure that the board is able to provide effective oversight of the company's management.
- Auditor Oversight: It is important for companies to have a strong audit committee in place. The audit committee should be responsible for overseeing the company's auditors and ensuring that they are conducting their audits in accordance with professional standards.
- Transparency: Companies need to be transparent and disclose important information to their shareholders and creditors. This information should be accurate and complete, and it should be disclosed in a timely manner.

- **Recommendations**

In addition to the lessons learned above, the following recommendations can be made to prevent similar scandals from happening in the future:

- Regulatory bodies should mandate independent directors on the boards of all listed companies.
- Regulatory bodies should strengthen their oversight of audit firms.
- Audit firms should invest in training their employees on fraud detection.
- Companies should implement whistleblower policies to encourage employees to report suspected wrongdoing.

4. Nirav Modi Scam in Corporate Governance Case Study: -

- **Introduction: -**

The Nirav Modi scam was a major corporate governance failure that occurred in India in 2018. Nirav Modi, a prominent diamond merchant, and his associates defrauded Punjab National Bank (PNB) of over ₹13,000 crores (US$2 billion). The scam involved forging and misusing letters of undertaking (LoUs) to obtain loans from PNB.

The Nirav Modi scam highlighted a number of corporate governance failures at PNB. The bank's internal controls were weak, and there was a lack of oversight by the bank's management and board of directors. The auditors of PNB, KPMG, also failed to detect the fraud.

- **Corporate Governance Failures: -**

The Nirav Modi scam highlighted a number of corporate governance failures at PNB. These failures include:

- Weak Internal Controls: PNB's internal controls were weak, which allowed Modi and his associates to perpetrate the fraud. For example, PNB did not have a system in place to track the issuance of LoUs.
- Lack of Oversight: There was a lack of oversight by PNB's management and board of directors. This allowed Modi and his associates to continue the fraud for several years without being detected.
- Auditor Failure: PNB's auditors, KPMG, failed to detect the fraud. This is a major failure of audit oversight.

- **Impact of the Scam: -**

The Nirav Modi scam had a significant impact on PNB and on the Indian banking system. PNB suffered a major financial loss, and its reputation was damaged. The scam also eroded public confidence in the Indian banking system.

The scam also led to increased scrutiny of corporate lending by banks. Banks are now more cautious about lending to companies, and they are demanding more collateral from borrowers.

- **Lessons Learned: -**

The Nirav Modi scam offers a number of important lessons for corporate governance. These lessons include:

- Strong Internal Controls: Companies need to have strong internal controls in place to prevent fraud and other abuses. These controls should be regularly reviewed and updated to ensure that they are effective.
- Effective Oversight: Companies need to have effective oversight by the board of directors and management. The board of directors should have a strong audit committee and should meet regularly to review the company's financial performance and risk management practices.
- Auditor Vigilance: Auditors need to be vigilant in detecting and reporting fraud. Auditors should have a strong anti-fraud program in place and should conduct their audits in accordance with professional standards.

- **Recommendations: -**

In addition to the lessons learned above, the following recommendations can be made to prevent similar scams from happening in the future:

- Regulatory bodies should mandate that banks have strong internal controls in place to prevent fraud and other abuses.
- Regulatory bodies should strengthen their oversight of audit firms.
- Audit firms should invest in training their employees on fraud detection.
- Banks should implement whistleblower policies to encourage employees to report suspected wrongdoing.

By taking these steps, we can help to ensure that corporate governance failures like the Nirav Modi scam do not happen again.

Measures RBI Takes After Any Scams or Scandals Happens

The Reserve Bank of India (RBI) is the central bank of India and is responsible for regulating the Indian financial system. The RBI takes a number of measures after scams happen in the banking sector to protect depositors and other stakeholders, and to prevent similar scams from happening in the future. These measures can be broadly divided into three categories:

- Immediate measures
- Medium-term measures
- Long-term measures

1. Immediate measures: -

The immediate measures that the RBI takes after a scam happens in the banking sector are designed to contain the damage and to protect depositors and other stakeholders. These measures may include:

- Imposing a stay on the bank: This means that the bank is prohibited from conducting any business transactions, including withdrawals and deposits. This is done to prevent the bank from running out of money and to protect depositors from losing their savings.
- Appointing an administrator to the bank: The administrator is responsible for managing the bank's operations and for protecting the interests of depositors and other stakeholders.
- Initiating an investigation into the scam: The RBI investigates the scam to determine the facts and to identify the perpetrators.
- Taking action against the perpetrators: The RBI may take action against the perpetrators of the scam, such as imposing fines or revoking their licenses.

2. Medium-term measures: -

The medium-term measures that the RBI takes after a scam happens in the banking sector are designed to strengthen the bank's internal controls and risk management practices. These measures may include:

- Requiring the bank to improve its internal controls: The RBI may require the bank to implement new internal controls or to strengthen its existing internal controls. This is done to prevent similar scams from happening in the future.

- Requiring the bank to improve its risk management practices: The RBI may require the bank to improve its risk management practices to identify and manage risks more effectively. This is done to reduce the likelihood of the bank suffering losses in the future.
- Appointing new management to the bank: The RBI may appoint new management to the bank if it believes that the existing management is not competent or trustworthy. This is done to protect the interests of depositors and other stakeholders.

3. Long-term measures: -

The long-term measures that the RBI takes after a scam happens in the banking sector are designed to improve the regulatory framework and to make it more difficult for scams to happen in the future. These measures may include:

- Issuing new regulations: The RBI may issue new regulations to address the specific weaknesses in the regulatory framework that were exploited by the perpetrators of the scam.
- Strengthening the supervision of banks: The RBI may strengthen its supervision of banks to identify and address risks more effectively. This may involve increasing the frequency of inspections or requiring banks to provide more information to the RBI.
- Educating depositors and other stakeholders: The RBI may educate depositors and other stakeholders about financial scams and how to protect themselves from them. This may be done through public awareness campaigns or through the distribution of educational materials.

The RBI's response to a scam in the banking sector depends on the nature and severity of the scam. The RBI takes a proportionate and measured approach to ensure that the interests of all stakeholders are protected.

Here are some specific examples of the measures that the RBI has taken after scams have happened in the banking sector:

- After the **Vijay Mallya scam**, the **RBI issued new guidelines on corporate governance for banks.** The RBI also required banks to **strengthen their internal controls and risk management practices.**
- After the **2003 scandal**, the RBI **established a central database of stamp papers**. The RBI also required banks to **implement new internal controls to prevent the misuse of banking products and services to perpetrate fraud.**

- After the **Satyam scandal**, the RBI issued new guidelines on **audit committees for banks**. The RBI also required banks **to appoint independent auditors and to strengthen their internal controls.**
- After the **Nirav Modi scam**, the RBI issued new guidelines on **letters of undertaking (LoUs) for banks**. The RBI also required banks **to strengthen their internal controls and risk management practices.**

The **RBI's measures have helped to strengthen the Indian banking system and to make it more difficult for scams to happen**. However, there is still room for improvement. The RBI needs to continue to strengthen its supervision of banks and to educate depositors and other stakeholders about financial scams.

Loophole in corporate governance

1. Weak internal controls: Internal controls are the systems and processes that a company puts in place to prevent and detect fraud and other abuses. Weak internal controls can make it easy for perpetrators to commit fraud and to go undetected for long periods of time.
2. Lack of oversight by management and boards of directors: The board of directors is responsible for overseeing the company's management and ensuring that it is acting in the best interests of the shareholders. If the board of directors is not effective, it can be difficult to detect and prevent fraud and other abuses.
3. Auditor failure: Auditors are responsible for independently auditing a company's financial statements and reporting on their accuracy. Auditor failure occurs when auditors fail to detect fraud or other irregularities in a company's financial statements.
4. Conflicts of interest: Conflicts of interest occur when an individual has a personal interest that could influence their decision-making in their professional role. Conflicts of interest can create opportunities for fraud and other abuses.
5. Lack of transparency: Transparency is the disclosure of information to shareholders and other stakeholders. A lack of transparency can make it difficult for shareholders and other stakeholders to detect and prevent fraud and other abuses.

Findings

1. **Weak internal controls:** Internal controls are the systems and processes that a company puts in place to prevent and detect fraud and other abuses. Weak internal controls can make it easy for perpetrators to commit fraud and to go undetected for long periods of time.

2. **Lack of oversight by management and boards of directors:** The board of directors is responsible for overseeing the company's management and ensuring that it is acting in the best interests of the shareholders. If the board of directors is not effective, it can be difficult to detect and prevent fraud and other abuses.

3. **Auditor failure:** Auditors are responsible for independently auditing a company's financial statements and reporting on their accuracy. Auditor failure occurs when auditors fail to detect fraud or other irregularities in a company's financial statements.

4. **Conflicts of interest:** Conflicts of interest occur when an individual has a personal interest that could influence their decision-making in their professional role. Conflicts of interest can create opportunities for fraud and other abuses.

5. **Lack of transparency:** Transparency is the disclosure of information to shareholders and other stakeholders. A lack of transparency can make it difficult for shareholders and other stakeholders to detect and prevent fraud and other abuses.

❖ **Findings from case study: -**

I. 2003 Scandal: -

- The 2003 scandal was a massive counterfeiting scam that involved the forging of stamp papers and the sale of these forged stamp papers to government offices and private companies.
- The scam was led by Abdul Karim Telgi, who was able to operate for several years due to the lack of a central database of stamp papers and the weak internal controls at the government offices and private companies that were involved in the scam.
- The 2003 scandal caused an estimated loss of over ₹200 billion (US$2.5 billion) to the Indian government.

II. Vijay Mallya Scam: -

- Vijay Mallya, the former chairman of Kingfisher Airlines, defrauded banks of over ₹9,000 crores (US$1.4 billion) by obtaining loans through forged documents and misrepresenting the financial condition of his company.
- Mallya was able to perpetuate the fraud due to weak internal controls at the banks and a lack of oversight by the bank management and boards of directors.
- The Vijay Mallya scam is a classic example of corporate governance failure.

III. Satyam Scandal: -

- The Satyam scandal was a major accounting fraud that was perpetrated by Ramalinga Raju, the founder and chairman of Satyam Computer Services.
- Raju inflated the company's profits and assets by over ₹7,000 crores (US$1.1 billion) over a period of several years.
- Raju was able to perpetuate the fraud due to weak internal controls at Satyam and the failure of the company's auditors to detect the fraud.
- The Satyam scandal is a classic example of corporate governance failure and auditor failure.

IV. Nirav Modi Scam: -

- Nirav Modi, a prominent diamond merchant, and his associates defrauded Punjab National Bank (PNB) of over ₹13,000 crores (US$2 billion) by forging and misusing letters of undertaking (LoUs) to obtain loans from PNB.
- Modi and his associates were able to perpetrate the fraud due to weak internal controls at PNB and a lack of oversight by the bank's management and board of directors.
- The Nirav Modi scam is a classic example of corporate governance failure.

❖ **Common Findings: -**

All four of these scams share a number of common findings, including:

- Weak internal controls
- Lack of oversight by management and boards of directors
- Auditor failure
- Corporate governance failure.

Conclusion

The Vijay Mallya scam and the Nirav Modi scam involved the misuse of banking products and services to perpetrate fraud. This suggests that banks need to have stronger controls in place to prevent the misuse of their products and services.

The 2003 scandal and the Satyam scandal involved the counterfeiting of documents. This suggests that the government and private companies need to have better systems in place to detect and prevent counterfeiting.

All four of these scams caused significant financial losses to the victims. This suggests that there is a need for better compensation mechanisms for victims of fraud.

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